

Are high interest rates slowing growth? If the economy is growing why isn't there demand creation?

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sections of society. Coming to the slowdown, it is possible that exports were compensating for falling domestic consumption, but the big reasons behind it are interest rates, and more importantly, the hardening of the rupee. India being an open economy, many consumers are switching to cheaper produce, say Chinese. Exports are slowing down, which has affected domestic producers as well. The trade deficit is expected to be around \$80 billion (Rs 3,15,000 crore). We talk about exporters, but the domestic economy, too, is hit because our currency is not in sync with China, East Asia or even South Asia. Add to this the energy challenge, with crude oil at \$84 (Rs 3,305) per barrel. We are heading towards resource constraint, whether it is physical resources like coal and oil or human resources like skilled talent, and maybe blue-collar workers. That is one reason for this slowdown.

Aroon Purie: Why is it that the Indian economy cannot sustain a 9 per cent-plus growth? Are we assuming that it has to slow down? Can we sustain growth at 9 per cent-plus with a bearable inflation rate?

Ranade: We have a higher investment rate and savings rate, but the three critical sectors needed for fuelling growth—energy, banking and education—are under public sector monopolies. Most of our problems can be traced to these three sectors. I agree 9 per cent is actually a sustainable GDP growth rate for our economy. But it requires addressal of problems in those resource sectors.

Is a strong rupee an asset or a liability? SHOULD RBI INTERVENE?

Ranade: The Americans say the dollar is our currency but your problem. A strong rupee is not only hurting the export sector, but the domestic economy too. Indian industry is affected by cheap Chinese imports. Just three items—crude oil, gems and jewellery and capital goods—constitute 67 per cent or two-thirds of India's import basket. Petro prices are controlled by the government. Gold does not directly impact street-level inflation. Essentially it is just on capital goods that we benefit. So, I am not so sure what is the pass through when they say a stronger rupee helps keep inflation low. I am not saying that the rupee should not strengthen. It should progressively strengthen.

Roy: A strong rupee is a liability at this point of time. If you didn't have a managed float and were moving towards complete convertibility, it would have been a different issue. Things could have been market-oriented. But since you have a managed float, it is better to manage the rupee.

Gokarn: Since May 2002, the rupee has been going stronger and stronger. From 49, it came to 44, and from 44, it has gone to 39 in just three months. That is the problem.

Acharya: A stronger rupee at our stage of development

FAILING MODEL:
Agriculture is near-stagnant



We need to remix crop pattern and remodel agriculture. We are growing and will need to import.

AJIT RANADE, CHIEF ECONOMIST, AV BIRLA GROUP

is definitely a liability for growth and employment. One of the reasons for this problem is that not enough real reform is taking place. Foreign capital has been coming in since 2002. But because we are not doing labour reforms, infrastructural or agricultural reforms; the increase in investment, in real spending, is not commensurate and therefore, we have to build up reserves. If we had more structural reform in the system, all this capital inflow would have helped.

Debroy: If we are going to grow at the rates that we are expecting to, rupee appreciation is inevitable. It is a given, a long-term and medium-term trend. Deliberate under-valuation, protecting an under-valued currency, is also not costless. One reason why we saw that sharp increase is because there was a deliberate under-valuation.

Can we grow despite crisis in agriculture? WHAT CAN BE DONE?

Acharya: If you look at it sectorally, there is no country which has sustained 9 per cent growth for a significant period of time with agriculture growing at 2 per cent. You may say dependence on agriculture has to come down, but it is still a fifth of GDP with a large populace dependent on it and they have to be accommodated. The inflation scare, too,